

The Nature of Consumer Behavior and Decision Making

- **Consumer Behavior:**
 - *The mental and emotional processes and physical activities people engage in when they select, purchase, use, and dispose of products or services to satisfy particular needs and desires.*



The Nature of Consumer Behavior and Decision Making

- Factors important to understanding consumer markets and consumer behavior:
 - The size of the consumer market.
 - Changes in consumer shopping habits and purchase decisions.
 - Emphasis on consumer-oriented marketing.
 - The design of effective marketing strategy.

Growing Consumer Markets

1. New retail line-ups
 - “Price-centric”
 - Lifestyle
 - “Occasion-centric”
2. Outdoor living market.
3. Consumer electronics.
4. Enhanced experience businesses.



Growing Consumer Markets

5. Anti-aging products and services.
6. Health as a national hobby.
7. High-end sports apparel and equipment.
8. Safe packaging, pure contents, and “green” concerns.



Consumer Behavior and the Design of Marketing Strategy

Brand Equity:

The marketplace value of a brand.

Service Recovery:

Winning back consumers who defect.

Understanding E-Customers

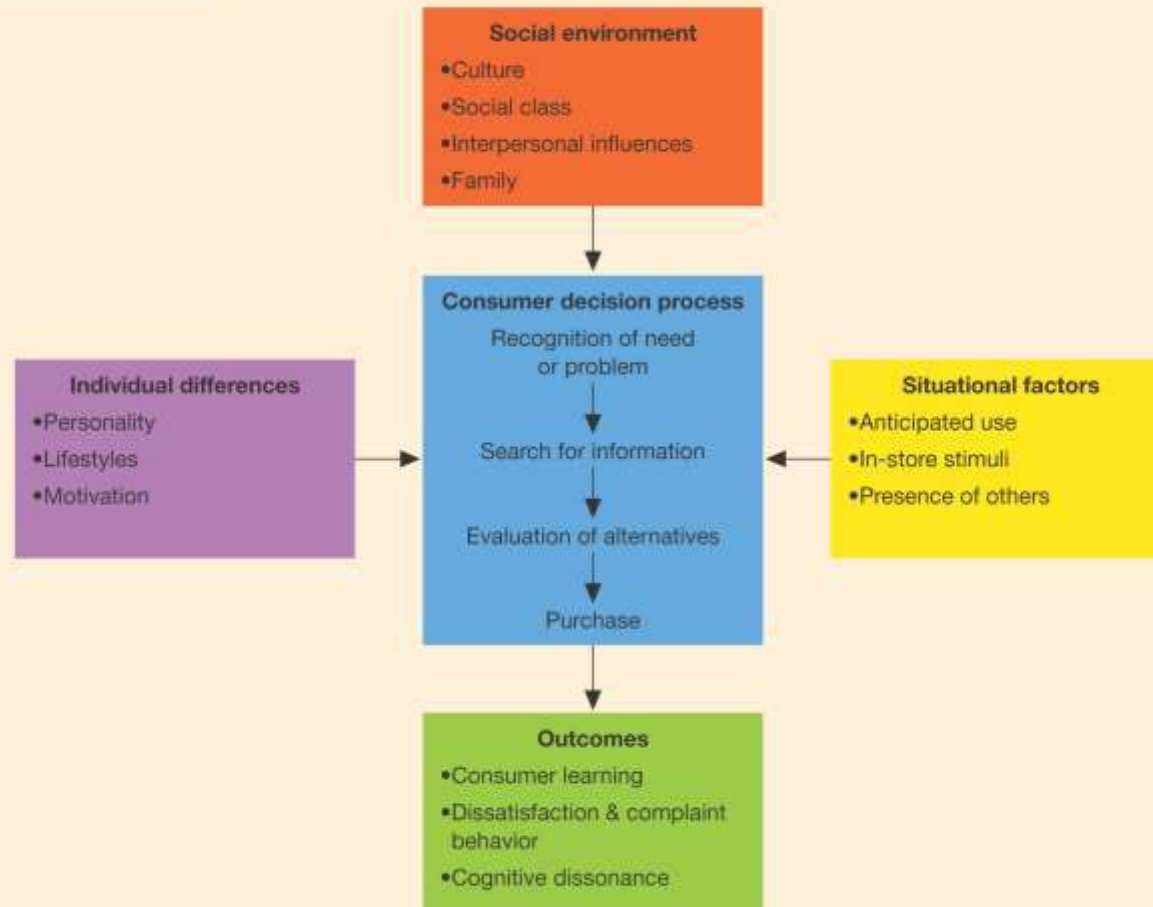
- The 10 Most Important Website Attributes:
 1. Product representation
 2. Product prices
 3. Product selection
 4. On time delivery
 5. Ease of ordering
 6. Product information
 7. Level and quality of consumer support
 8. Product shopping and handling
 9. Posted privacy policy
 10. Site navigation and appearance



Consumer Decision Making

Exhibit 4-2

A general model of consumer decision making and influences



High- and Low-Involvement Decisions

- **Involvement:**

- *The level of importance or interest generated by a product or a decision.*

- **Consumer Information Processing:**

- *The cognitive processes by which consumers interpret and integrate information from the environment.*

High-and Low-Involvement Decisions

- **High-involvement Decisions:**
 - *Characterized by high levels of importance thorough information processing, and substantial differences between alternatives.*



- **Low-involvement Decisions:**
 - *Occur when relatively little personal interest, relevance, or importance is associated with a purchase.*

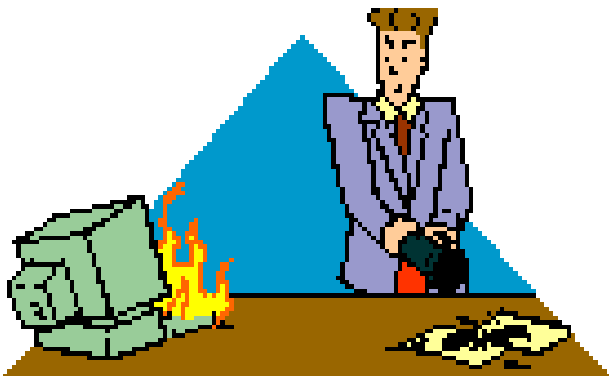
Types of Consumer Choices

- Six Generic Consumer Behavior Choices:
 1. Product
 2. Brand
 3. Shopping area
 4. Store type
 5. Store
 6. Nonstore source (catalogs, PC, & TV shopping)

Attitudes

- **Consumer Attitudes:**

- *Learned predispositions to respond favorably or unfavorably to a product or brand.*



- Attitudes have **valence**; they can be positive, negative, or neutral.
- Strong attitudes are resistant to change.
- Attitudes can erode over time if not reinforce.

Attitudes – Marketing Implications

1. Attitudes are based on beliefs consumers hold about the attributes or features (price, level of services, quality) of the products they are evaluating.
2. Attitudes are primary causes of behavior causing consumers to buy or not buy products



Experiential Choices

- Consumers frequently make choices based on their emotions and feelings.

- **Affect Referral:**
 - *Consumers elicit from memory their overall evaluations of products and choose the alternative for which they have the most positive feelings.*



Experiential Choices

- **Impulse Purchases:**

- *Choices made on the spur of the moment, often without prior problem recognition*



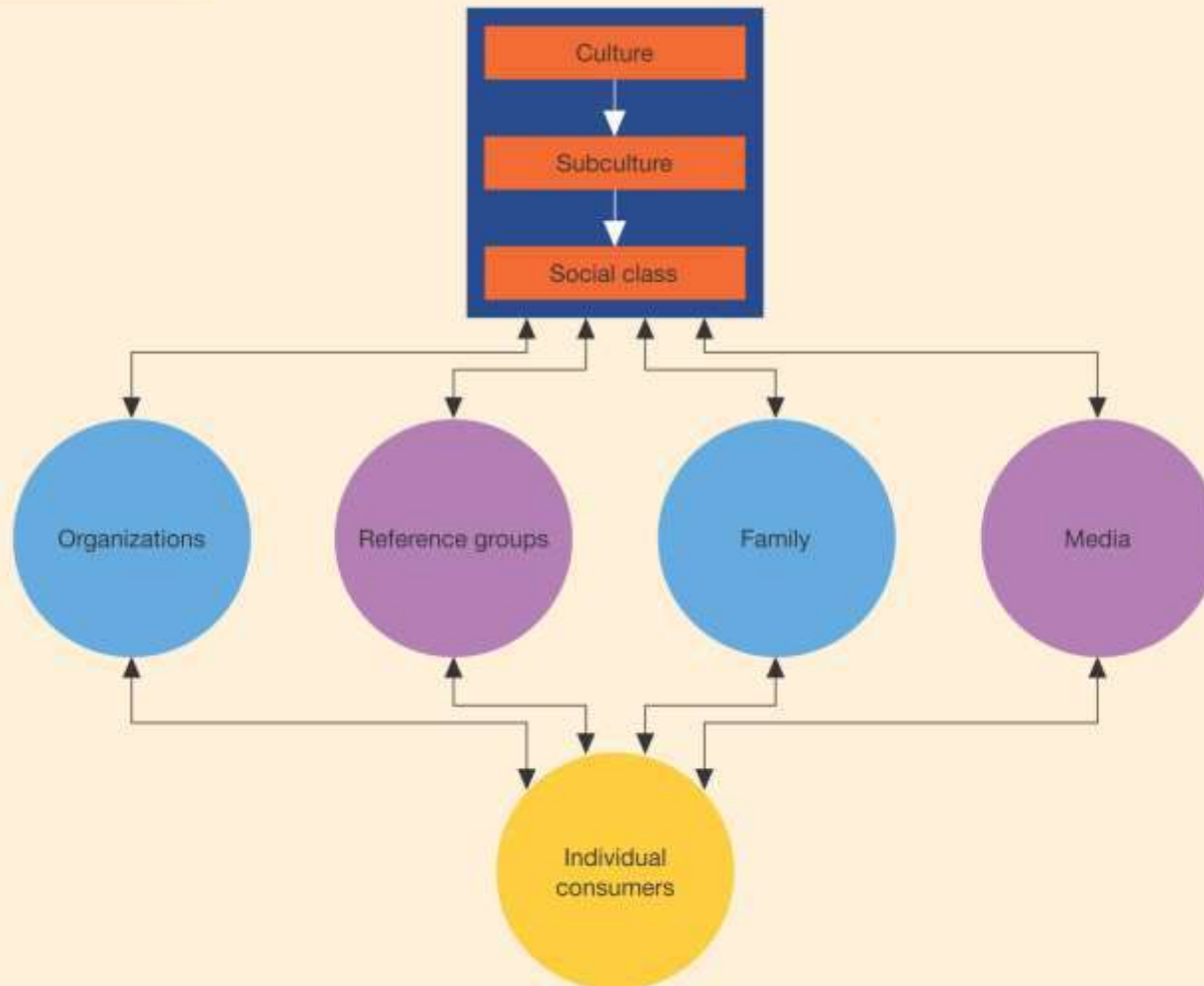
- **Time-inconsistent Choices:**

- *Choices consumers make which act against their own better judgment and engage in behavior they would normally reject.*

Influence of the Social Environment

Exhibit 4-3

Flows of influence within the social environment



Cultural Influences

- **Culture:**

- *The values, ideas, attitudes, and symbols that people adopt to communicate, interpret, and interact as members of society.*

- Culture is learned and transmitted from one generation to the next.



Cultural Influences

- **Socialization:**
 - *The process of absorbing a culture*



- **Consumer Socialization:**
 - *When socialization is applied to marketing and consumer behavior.*



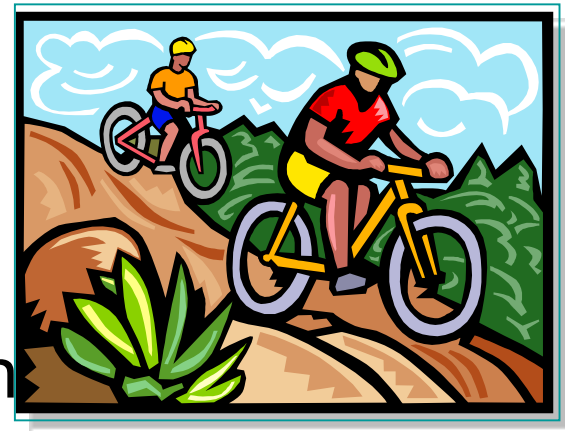
Values

- **Values:**
 - *Shared beliefs or cultural norms about what is important or right.*

Cultural values directly influence how Consumers view and use individual products, brands, and services.

Values

- The List of Values (LOV):
 - Self-respect
 - Warm relationships
 - Self-fulfillment
 - Sense of belonging
 - Respect from others
 - Excitement
 - Security
 - Sense of accomplishment
 - Fun and enjoyment in life



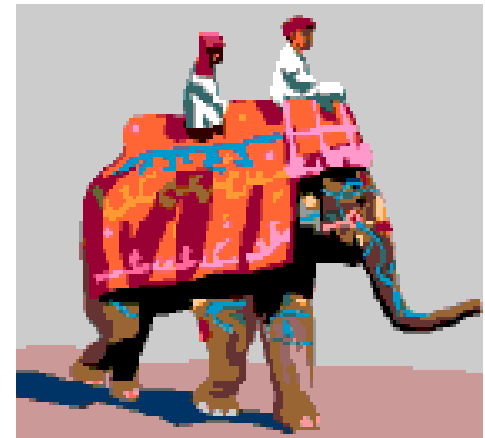
Values

- **Values and Lifestyles (VALS):**
 - *Identifies eight market segments that share similar end values.*



Subcultures

- **Ethnic Patterns:**
 - *The norms and values of specific groups or subcultures within a society.*



Subcultures

- Demographic characteristics used to identify subcultures:
 - **Nationality** - Hispanics, Italians
 - **Race** - African-American, American Indian, Asian
 - **Region** - New England, the South
 - **Age** - Elderly, teenager
 - **Religion** - Catholic, Jewish, fundamentalist



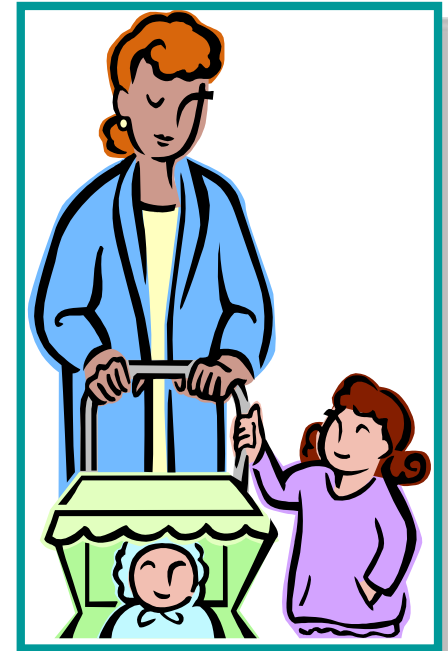
Social Class Influences

- **Social Classes:**
 - *Relatively homogeneous divisions within a society that contain people with similar values, needs, lifestyles, and behavior.*



Family Influences and the Family Life Cycle

- Family influences play two important roles in:
 - The socialization of people.
 - Affecting individual purchase decisions.



Family Influences and the Family Life Cycle

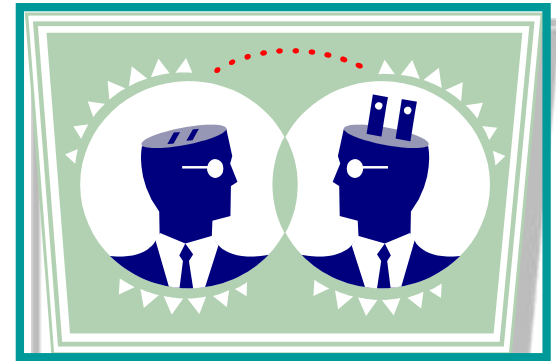
- **Family Life Cycle:**

- *The sequence of steps a family goes through:*

- From young, to
 - Single adults, to
 - Married couples whose children have left home, to
 - The retired survivor
- 

Interpersonal Influences

- **Reference Groups:**
 - *Those others look to for help and guidance including friends, co-workers, and others.*



Interpersonal Influence Processes

- Three Types of Interpersonal Processes:
 1. **Informational influence** is based on the consumer's desire to make informed choices and reduce uncertainty.
 2. **Utilitarian influence** is reflected in compliance with the expectations, real or imagined, of others – referred to as *norms*.
 3. **Value-expressive influence** stems from a desire to enhance self-concept through identification with others.

Interpersonal Influence Processes

- Normative Influence:
 - A combination of *Utilitarian* and *Value-Expressive Influence*.



Individual Differences

- Sources of Individual Differences Influencing Consumer Behavior:
 1. Word-of-mouth communications
 2. Personality
 3. Lifestyles and psychographics
 4. Motivation



Word-of-Mouth Communications

Opinion Leaders:

Influence consumer behavior through word-of-mouth communications.

Market Mavens:

Consumers who know about many kinds of products, places to shop, and other facts of the market, and they like to share this information with other consumers.

Personality

- **Personality:**
 - *Reflects a person's consistent response to his or her environment.*



- Personality traits related to consumer behavior:
 - Extroversion
 - self-esteem
 - dogmatism (closed-mindedness)
 - aggressiveness

Personality

- **Self-Concept:**

- *The overall perception and feeling that one has about herself or himself.*



Lifestyles and Psychographics

- **Lifestyle:**

- *Describes a person's pattern of living as expressed in activities, interests, and opinions (AIO statements).*

- **Psychographics:**

- *Divide a market into lifestyle segments on the basis of consumer interests, values, opinions, personality characteristics, attitudes, and demographics.*

Motivation

- **Motivation:**

- *Refers to a state or condition within a person that prompts goal-directed behavior.*

- **Maslow's Hierarchy:**

- **Self-actualization Needs** - Art, books, recreation
 - **Esteem Needs** - Clothing, home furnishings
 - **Love and Belonging Needs** - Mementos, gifts, photos
 - **Safety Needs** - Burglar alarms, seat belts
 - **Physiological Needs** - Food, heat, shelter

Situational Factors

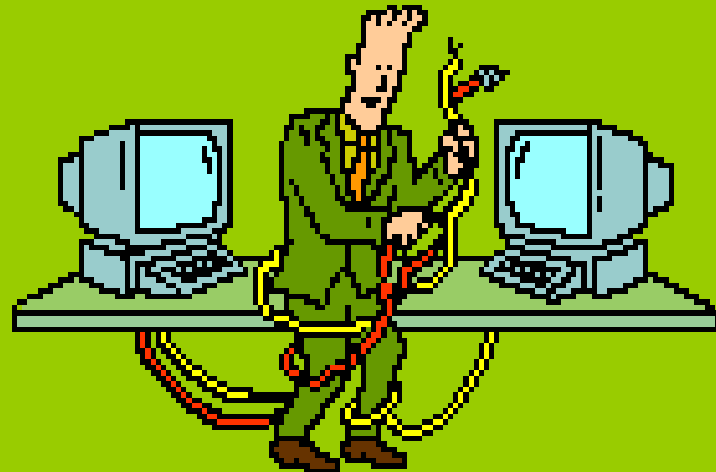
Consumers purchase goods
for use in certain situations.

The anticipated use
influences choice.

Situational factors can
inhibit as well as motivate.

Situational Factors

- Consumers buy products with anticipated uses in mind.



Consumer Behavior Outcomes

Consumer Learning happens when changes occur in knowledge or behavior patterns.

Marketers influence consumers by imparting knowledge through advertising, product labels, and personal selling.

Marketers hope consumers will attend to, comprehend, and then remember these messages

Consumer Satisfaction, Dissatisfaction, and Complaint Behavior

- *Satisfaction* and *dissatisfaction* describe the positive, neutral, or negative feelings that may occur after purchase.
- *Consumer complaints* are overt expressions of dissatisfaction.

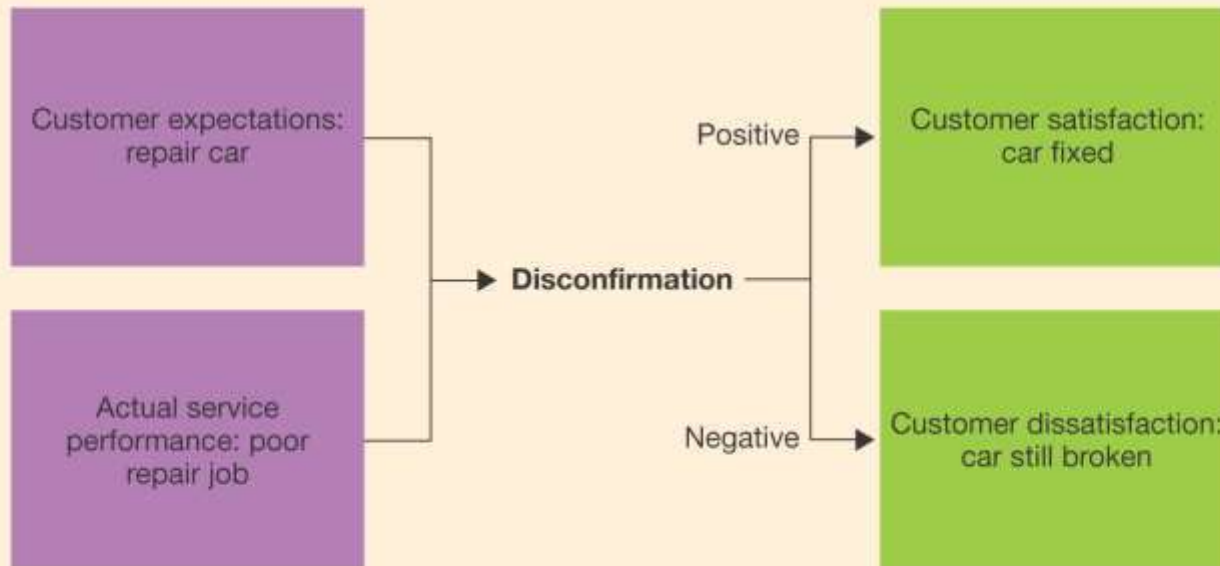


- Firms adopting a *customer value perspective* must employ marketing communications that convey realistic expectations.

A Model of Consumer Satisfaction

Exhibit 4-8

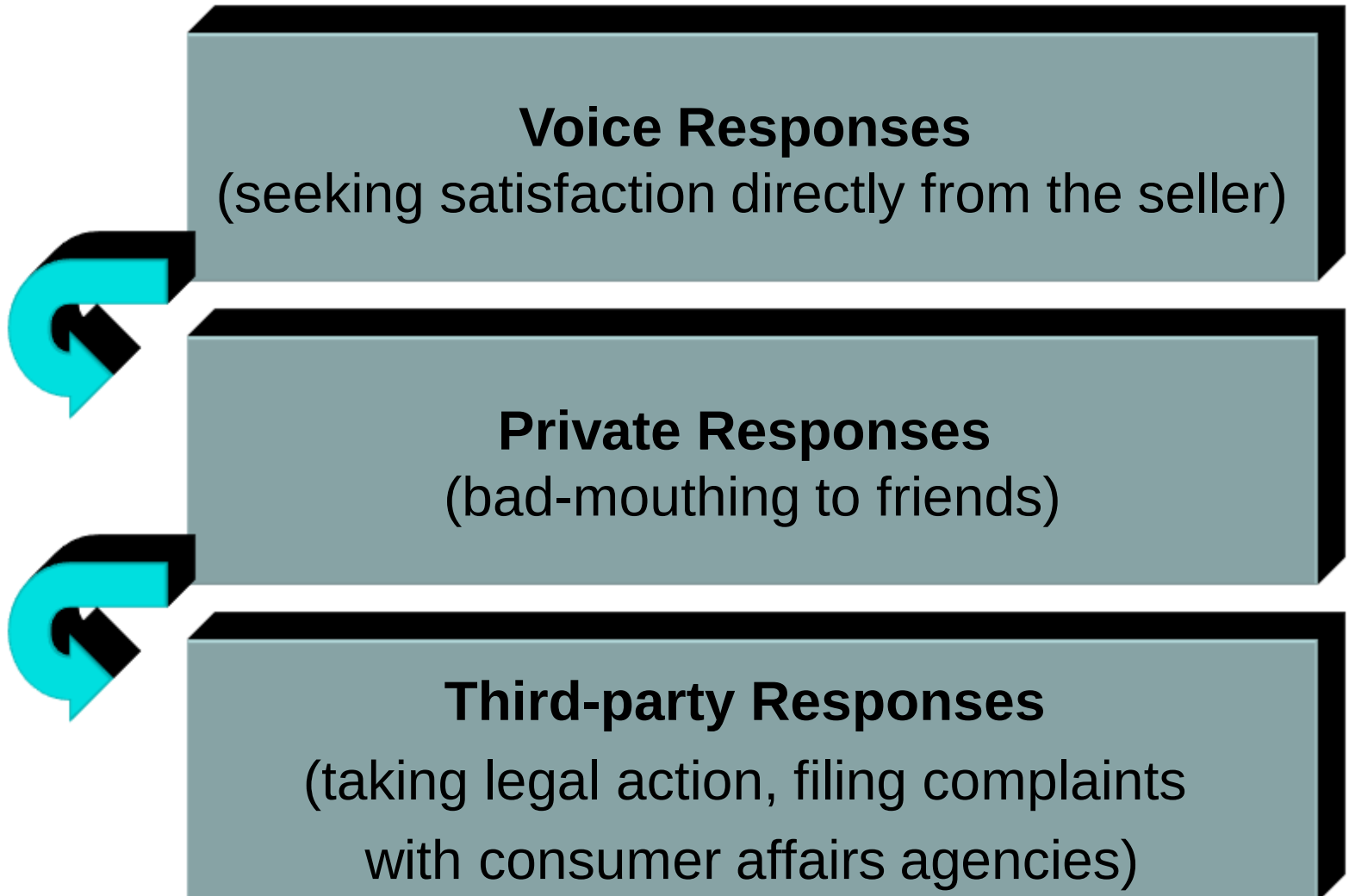
A model of consumer satisfaction



Findings of Customer Satisfaction Research

1. Satisfaction judgements evolve and are changeable as products are used.
2. Satisfaction judgments have a social component determined by the satisfaction of others in the household.
3. Emotions are important and yield insights beyond simple comparison standards, such as expectations and performance.
4. Product satisfaction is also related to quality of life and life satisfaction.

Customer Complaints



Cognitive Dissonance

Cognitive Dissonance:

- *A form of postpurchase doubt about the appropriateness of a decision.*

- Cognitive Dissonance occurs when:
 - Decisions are major
 - The purchase is important
 - Perceived risk is high
 - The purchase is visible
 - The decision involves a long-term commitment

Ethical and Social Issues in Consumer Behavior

Unethical consumer behaviors include shoplifting and abuse of return policies

Consumers are increasingly incorporating social concerns into their buying decisions

Ethical and Social Issues in Business Behavior

